

General Fund Forecast

**July 1, 2025 thru
June 30, 2030**

October 13, 2025

Presented By: Craig Yaniglos, Treasurer/CFO



O.R.C. and O.A.C. Requirements

- O.R.C. 5705.391 and O.A.C. 3301-92-04
 - HB 96 our current state budget changed the dates and years of a district forecast submission
 - HB96 requires a Board of Education to submit a **four-year projection** of operational revenues and expenditures along with assumptions to the Ohio Department of Education and Workforce prior to October 15, 2025 and an update by end of February, 2026.
 - **In FY27 the date moved to August 31 and an update February 28**
- Required funds to be included in the four-year forecast are:
 - **General Funds (001)**
 - Any special cost center associated with general fund money
 - Emergency levy funds (016) - we do not have this.
 - Any debt service (002) activity that would otherwise have gone to the general fund - we do not have this.
- **Our district will continue to utilize a five-year forecast and planning horizon**





Purposes and Objectives of the Forecast

- Engage the Board of Education and community in long range planning and discussions of financial issues facing our schools.
- To serve as a basis for determining the school district's ability to sign the certificate required by O.R.C. 5705.412, commonly known as the "412 certificate".
- To provide a method for the Ohio Department of Education and Auditor of State to identify school districts with potential financial problems.

Before we get to the numbers ...

- A financial forecast is somewhat like a painting of the future based upon a snapshot of today.
- The forecast is viewed as a key management tool and should be updated periodically.
- In a financial forecast, the numbers only tell a small part of the story. For the numbers to be meaningful, one must review and consider the Notes and Assumptions before drawing conclusions or using the data as a basis for other calculations.
- The forecast encourages district management to examine future years' projections and identify when challenges will arise.
- This helps district management to be proactive in meeting those challenges.
- Assumptions in this presentation in no way represent a baseline for any current or future negotiations with CBAs.



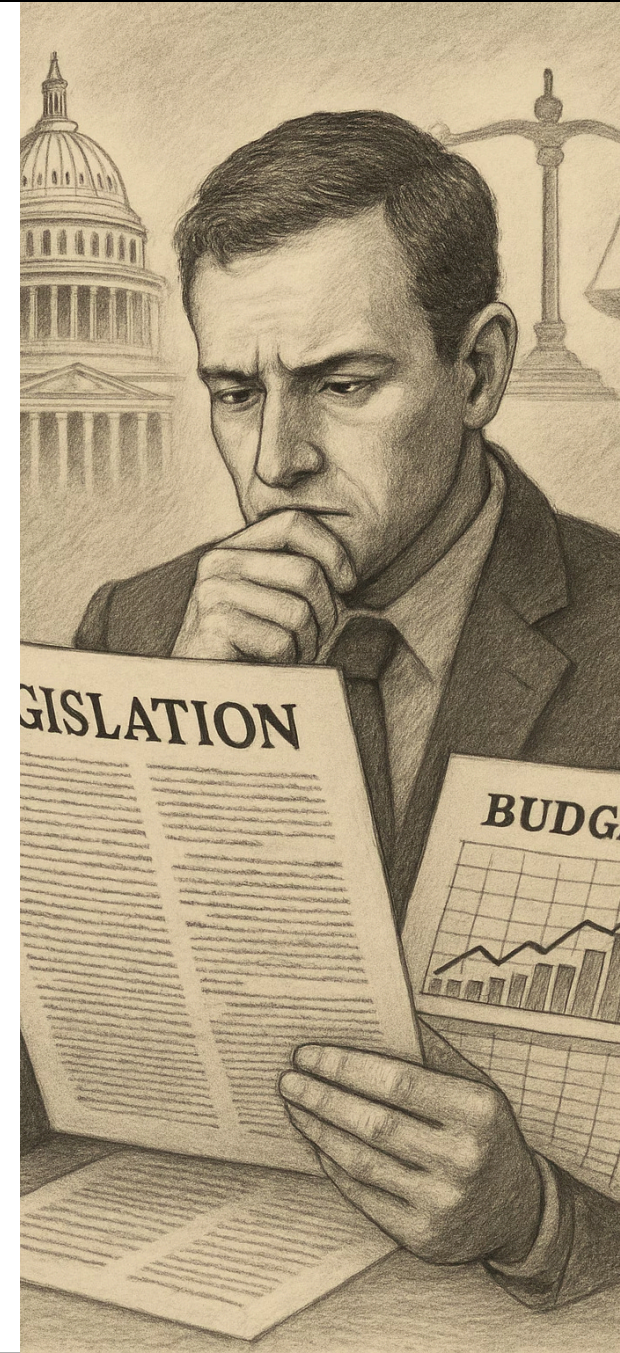
FY26-FY27 State Budget/Legislative Concerns

The House voted in July to override one of the Governor's Vetoes on levy types. The Senate has recently considered and voted to override it. VETO #66

The Legislature can act all the way to December 31, 2026. In essence portions of HB96 may not be final until that date.

The "**Taxpayers Freedom Trilogy Act**" was introduced in August they are HB420, HB421 and HB422. These bills if passed into law would eliminate continuing levies, potentially set aside inside millage, and create more than 50% approval margins for new levy approval. All would be devastating to our local revenues we count on to educate our children.

Any changes, which could be significant to state funding and property taxes will need to be watched and evaluated carefully and planned for in our forecast.



Our District Financial Story

Understanding the dynamics of our funding and the challenges ahead is crucial for maintaining our educational programs.



Fair School Funding Plan

HB96 continues the phase-in of the fair school funding plan through FY26 & FY27, with current funding aligned to the formula in FY26. Base inputs were not updated thus **shifting the burden to local taxpayers.**



Future Funding Uncertainty

Future funding, especially local property taxes, is uncertain due to numerous legislative proposals and the Governor's Tax Reform Work Group.



Revenue Breakdown

Our district relies heavily on **local sources, with 82.7% of revenue from local contributions** and **17.3% from the state of Ohio.**



Threat to Stability

State funding cuts or impacts to local revenue sources would necessitate cuts or new levies to sustain instructional programs and maintain our ending cash balance.



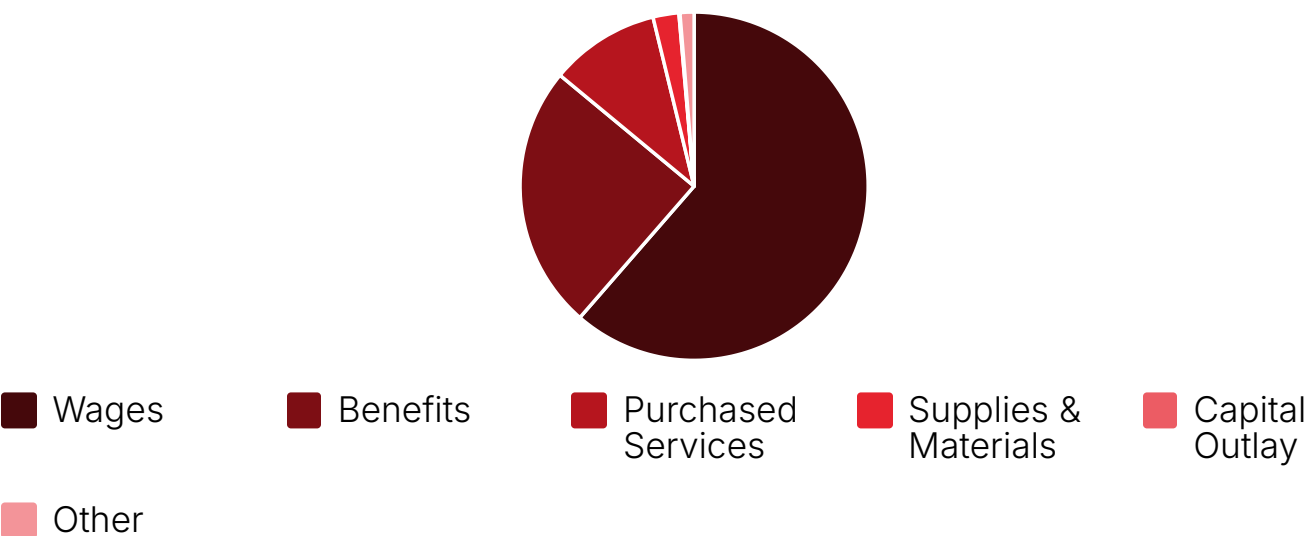
Estimated General Fund Revenue Sources

- The State contributes 17.3% of the district's revenues
 - State funding includes foundation aid (unrestricted)
 - DPIA, Gifted, ESL, SWSF (restricted)
 - Homestead, and Rollback
- Local funding contributes 82.7% of district revenues
 - Includes tax revenue,
 - PTP and tuition payments,
 - Interest and secure investments.
- Federal Funding Totals approximately 1.2 million each year (about 2%) with Title II, III and IV funding on the line right now!



Expenditure Outlay Breakdown

Understanding how our funds are allocated is crucial for responsible financial management. The following chart illustrates the primary categories of our district's expenditures:



A significant concern impacting our benefits category is the persistent rise in healthcare costs. For the third consecutive year, these costs have increased by double digits, outpacing general inflation by more than three times. This trend places considerable pressure on our budget and requires ongoing strategic planning.

Navigating Our Financial Future



Increasing Deficit

We anticipate deficit spending of **\$756,336** this year, growing to **\$3.2 million** by FY27 if current trends persist.



Temporary Relief

A **\$6 million transfer** from Campus Master Plan fund 070 in FY28 could temporarily sustain operations.



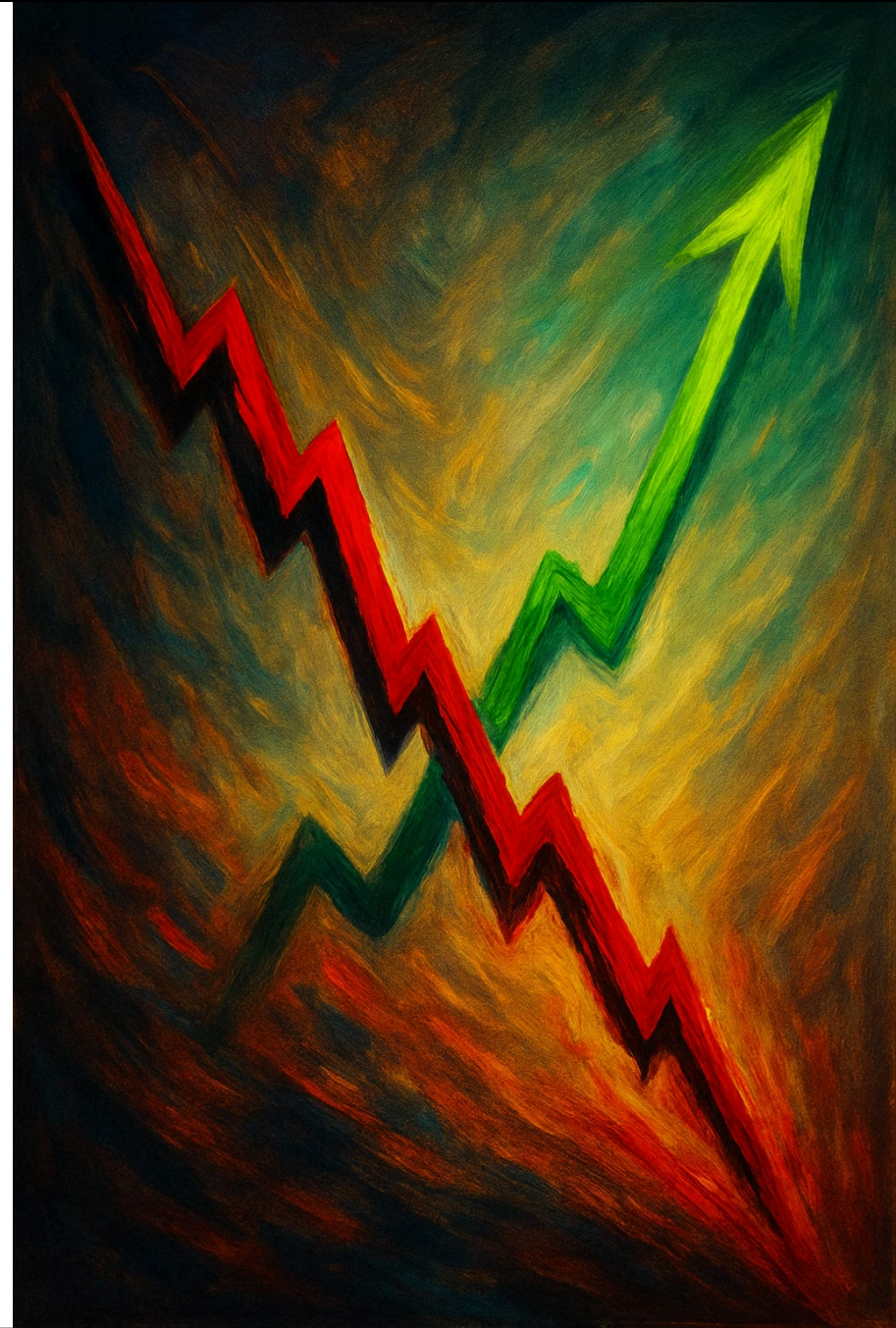
Impending Levy Need

A new levy is projected for **Calendar Year 2027** (first collection January 2028) to ensure long-term financial stability.



Cash Reserve Impact

Without a levy, cash balances would fall below the 90-day minimum policy in FY29, leaving only **56 days** of cash.



BBHCSD Overall Outlook

01

Stable but Unpredictable

Our district **maintains financial stability**, yet faces significant uncertainty from volatile state and national economic conditions.

02

Legislative Policies Threaten Public Education

State legislature **actively pursues** tax reform policies that could **severely harm our public school system's funding base.**

03

Unaccountable Voucher Programs

A staggering **\$1.5 billion in taxpayer** funds is funneled to voucher programs lacking essential accountability and transparency.

04

Historic Underfunding of Public Schools

Decades of detrimental state policies have led to public school funding reaching its **lowest historical levels, shifting the burden locally.**

05

Rising Taxpayer Burden

Local property owners are justifiably upset as their tax bills rise, a **direct consequence** of state-level policy decisions.

Current Economic Environment & School Funding in Ohio



Inflationary Pressures

Rising inflation directly increases operational costs for schools, from utilities and supplies to transportation and salary adjustments, straining existing budgets and purchasing power.



State Revenue Volatility

Ohio's school funding model is significantly tied to state income and sales tax revenues. Economic slowdowns or recessions can lead to reduced state aid and budget cuts for districts.



Local Property Values

Local school funding heavily relies on property values and tax collections. Economic shifts impacting home values or commercial activity directly influence local tax revenue streams.



Interest Rate Impacts

Fluctuating interest rates affect school district borrowing costs for capital projects and can influence returns on invested district funds, impacting financial flexibility and long-term planning.

Current National Economic Snapshot (October 2025)

The U.S. economy is in a complex phase, marked by moderate GDP growth but also significant challenges, including slow job creation and global trade tensions. Key concerns center on debt, inflation, and the effects of recent trade policies.



Massive Debt Accumulation

Debt presents a major risk at all levels, threatening long-term economic growth and financial stability.

- The U.S. national debt has exceeded **\$37.9 trillion**.
- Consumers face record credit card debt (**\$1.21 trillion**) and the highest delinquency rates in 14 years.



Persistent Inflation

While receding from recent peaks, inflation continues to challenge household budgets and economic targets.

- The Consumer Price Index (CPI) shows a **2.9%** annual increase, above the Federal Reserve's 2% target.
- Food prices, particularly beef and eggs, have seen double-digit hikes this year.



Stagflation & Tariff Impacts

The economy faces a growing risk of stagflation, exacerbated by current trade policies.

- Tariffs act as a **"stagflationary shock"** by increasing costs and disrupting supply chains.
- This creates economic uncertainty, weighs on growth, and pushes prices higher for consumers.



Thank You for Listening



Questions